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Maersk Shipping: Is the Price Right?

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The Challenge

In early 2012, as the work day turned into the work night, Kirsten Hagway, senior consultant at a leading strategy consulting firm, reviewed her “final” pricing model one last time. Hagway and her team had been examining several approaches to pricing strategy for the world’s leading container shipping company, Maersk Line,¹ and the deadline was fast approaching. Hagway had determined that the company’s key trade route—between Asia and North Europe—would serve as the test case for the strength of her recommendation.

Nonetheless, “getting the pricing right” at this point in time was a huge concern for Maersk Line CEO Søren Skou, parent company A.P. Møller-Maersk CEO Nils Andersen, and for the industry overall. In 2011, the global shipping industry had endured losses of \$6 billion amid an environment of overcapacity and fierce price competition—and Maersk Lines had not been insulated from those losses. Maersk Line’s earnings had been very volatile (\$2.1 billion loss in 2009, \$2.6 billion profit in 2010, and \$0.6 billion loss in 2011) and after a thorough strategic review by its parent, the Danish A.P. Møller-Maersk Group, Maersk Line’s management had set stretch goals for the period 2012–2015.² The goals were defined as: self-sustaining growth (growing with market and funded by its own cash flow); delivering stable returns above cost of capital; and capturing part of the value Maersk creates for its customers.

The Asia–North Europe (Asia–North EU) route (or *haul*, as it was known in the shipping world) was crucial to Maersk Line’s operations both due to its sheer size (24% of its total annual volume) and its competitive dynamics. Maersk Line held a 24% share on this haul, with its key competitor (an alliance between Swiss-based Mediterranean Shipping Company (‘MSC’) and French-based CMA CGM, the #2 and #3 global players respectively) holding an estimated 25% share.³ Industry observers believed that Maersk and the CMA/MSC alliance

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would soon announce price changes for the year ahead, with other (smaller) operators expected to follow suit (as was historically the case). Those price changes were called General Rate Increases (GRIs) even though they could (and historically) have often involved price cuts. Both Maersk and CMA/MSK were charging \$1,100/TEU for the Asia–North EU haul at the time of Hagway’s report ⁴

Hagway’s firm had been commissioned to conduct a survey several years prior indicating that there was a correlation in the shipping industry between market share and profitability.⁵ As the industry leader in a very price-sensitive market, aggressive price *cutting* was often Maersk’s strategy of choice in order to retain market share. In addition, with Maersk’s economies of scale, improved fuel efficiency, and ability to spread fixed costs over multiple trade lanes, it enjoyed nearly a 7% cost advantage over even its closest competitor. Nonetheless, with capacity uncertain and the entire industry losing money at the current price level, Maersk’s top management had asked Hagway’s firm to explore a variety of pricing strategies for the Asia–North EU haul.

Then, as Hagway’s finger hovered over the “send” button, she received an ‘urgent’ email from Pat Henshaw, the partner in charge. Henshaw had recently spoken with Maersk Line CEO Skou who mentioned a recent interview he had given. Henshaw shared the published interview with Hagway, highlighting the following statement from Skou: “We will defend our market share position at any cost, while focusing on growing with the market and restoring profitability.”⁶ Similarly, Maersk Group CEO Andersen mentioned in November 2011 that with respect to a cut in capacity (which works similarly to a price increase), “The unit wouldn’t cut capacity because its size meant it could outlast rivals during periods of losses.”⁷ Clearly, Maersk’s top management was determined to fight for its market share with any means.

Seeing this, Hagway felt the stakes rise yet again. Would a price increase in line with its competitors erode Maersk’s market share advantage? On the other hand, given the volatility of the last few years, was Maersk prepared to weather a round of aggressive price cutting? Clearly it was time to go back and re-read the analysis and test the pricing strategy model yet again.

Company Background

The A.P. Møller-Maersk Group (the Group), founded in 1904, headquartered in Copenhagen, Denmark, and listed on the Nordic Exchange, was a global conglomerate with over 120,000 employees and operations in 130 countries. The Group divided its activities across four core strategic business units and three business clusters. (Exhibit 1A summarizes these business groups.). As seen in Table 1 below, in 2012 the Group’s four core strategic businesses accounted for about 70% of revenue and 90% of profit.

TABLE 1. STRATEGIC BUSINESS UNITS IN 2012.

Industry Sector	Operating Business	% of Revenue 2012	% of Profit 2012	% of Invested Capital 2012
Oil	Maersk Oil	16%	66%	13%
Drilling	Maersk Drilling	3%	6%	8%
Shipping	Maersk Line, Safmarine, MCC	44%	6%	38%
Port Terminals	APM Terminals	8%	11%	11%

Source: Maersk Annual Report

The remainder of the Group's businesses was grouped into three different clusters representing an opportunistic core (Damco, Svitzer, Maersk Tankers, Maersk Supply Service), strategic investments (Danske Bank in which the Group held a 20% stake, and Dansk Supermarked), and a cluster managed for value (Maersk FPSOs & LNG, DFDS with a 31.3% stake, and Hoegh Autoliners with a 37.5% stake) (see Exhibits 1B and 1C).

Key components of the Group's five-year strategic plan included financial, customer, and operational elements. The plan included investments in profitable growth activities so as to sustain at least a 10% ROIC⁸ through-cycle and consistent growth in dividends based on solid earnings growth. Operationally, the Group expected to perform in the top quartile for the relevant industry while upholding its reputation by delivering excellent performance to customers and partners.

In terms of performance against these strategic objectives, FY11 Group revenues and EBITDA amounted to \$60.0 billion and \$14.7 billion respectively, with a historical CAGR of 4.1% and 5.3% respectively from 2007–2011. The Group-wide ROIC amounted to 8.3% in FY11, a decrease of 3.9 percentage points from the previous year.

Generally speaking, the investor community had become increasingly more positive toward the Group as it had improved its financial disclosures (in particular on its proven oil and gas reserves) and better balanced its capital allocation between its shipping and oil operations. Despite progress, investors continued to discount the company's valuation as a conglomerate and were skeptical about Maersk Line's ability to stop pressure on shipping rates.

MAERSK LINE

After a successful acquisition of rival shipper P&O Nedlloyd in 2005, Maersk Line became the world's leading container liner by volume. In 2012, Maersk Line carried approximately 16% of all global containerized trade, operating more than 600 vessels with a total carrying capacity of approximately 2.6 million TEU.

The Maersk Line fleet consisted mainly of wholly-owned vessels (with about 48% being chartered). Its largest vessels, the recently launched Maersk Triple E Class (Economy of scale, Energy efficient, and Environmentally improved) had a carrying capacity of 18,000 TEU. Despite their mega size (1,312 feet long, 194 feet wide), these vessels were able to pass through the Suez Canal,⁹ making them suitable for deployment on the Asia–North EU trade lane.

Though these Maersk ships were substantially larger than other ships used for this lane (which usually carried amounts of 8,000–14,000 TEU), they were also expected to be more fuel efficient than previous vessels in this classification.

FY11 revenues and EBITDA amounted to \$25.1 billion and \$1.0 billion respectively, with ROIC negative at (3.1%) (see Exhibit 2). Performance of Maersk Line was an ongoing concern for the Group and the investor community. Despite being the largest business unit within the Maersk Group, Maersk Line's profitability was below the Group average and was also highly volatile, reflecting strong price competition in the global shipping industry. Notably, too, the shipping operations were highly capital intense with annual CAPEX commitments of close to \$3 billion.

The Asia–North EU trade lane was Maersk Line's single biggest revenue contributor, with intra-Africa and its Reefer operations¹⁰ being other strongholds.

The Global Shipping Industry

Ocean shipping plays a pivotal role in the world economy as almost all traded goods are transported by sea at some point between the source of production and end consumer. As noted in a *Fortune* magazine article: "Consumers rarely see one of the most important and dramatic elements of the increasingly global economy: the mammoth ships that keep the whole system moving. Virtually everything we buy traveled by ship at some point or contains materials that did."¹¹

Maritime transport categorizes shipments into *bulk* and *general cargo*. Bulk cargo includes all commodities, such as crude, (iron-) ore, and grain while the general cargo classification included all other goods. General cargo is transported in standardized containers (measured in TEUs).

Containerization rapidly expanded after its invention in the 1950s, and containerized trade has grown ahead of global GDP since that time (see Exhibit 3 for a comparison of global imports and exports and container traffic). Infrastructure that allowed standard-sized containers to be transported *intermodally* (i.e., sea, rail, road) furthered the efficiency and hence the adoption of container shipments. As Andersen noted, "It's not just a matter of water depth and quayside. When someone offloads 18,000 containers in a port, you have to make sure you can get them out. So it's inland infrastructure as well."¹²

The use of containerized shipping was further fueled by the growth of the Asian markets as centers for global goods production and with it the need to transport consumer goods to more distant end-user markets. Not surprisingly then, container trade grew uninterrupted since 2000 when China joined the World Trade Organization. Indeed it was the cost effectiveness of container shipping that made many developing market exporters a viable alternative to production in developed markets. More recently, growing GDP in emerging markets had increased imports of European and US products (such as cars and equipment), driving demand on the reverse lane (i.e., from North America to the Far East).

Faced with ever-increasing demand dating unabated from the 1950s, container liners aggressively expanded their capacity by ordering large numbers of new vessels, which generally had a construction lead time of two to three years (the majority of which were built by shipyards in the Far East). For example, Maersk Line alone had an order book for 857,000 TEUs scheduled for delivery in 2018, which equated to capacity larger than the total fleet of the #4 player in the industry (Evergreen Line). Notably, the long lead time for vessel delivery made ordering a highly pro-cyclical activity.

In the aftermath of the global financial crisis, container demand contracted in 2008—for the first time since 1950. “Even dominant size [didn’t] fully shield Maersk from the whipsawing global economy: 2009 was its worst year ever, and 2010 was its best.”¹³ In the meantime, container liners had a record high number of vessels on order, all ordered during the 2004–2007 boom era (with accelerated volume growth and access to cheap financing). Exhibit 4 depicts global supply (fleet size) and demand (container volumes) and the resulting imbalance.

With significant new capacity coming online, container liners implemented several measures to reduce capacity (as supply/demand imbalances directly impacted prices) including lay-ups,¹⁴ slow-steaming¹⁵ (to save bunker costs), and forced slippage (where liners asked ship yards to push back deliveries). Despite these measures, shipping rates declined substantially during 2008–09. When consumer demand in Europe slowed following the debt crisis and when additional capacity came online in 2011, shipping rates again fell substantially.

PRICING AND COMPETITION

In 2012 the container industry was relatively fragmented, with the market leader, Maersk Line, owning 16.1% of the total global fleet and the top five container lines holding 48% of the market. The largest container liners were based in Europe (such as MSC, CMA CGM, and Hapag-Lloyd) and Asia (including Cosco, Evergreen, and Hanjin). (See Exhibit 5 for an overview of the largest container shipping companies.) Each trade lane had its own unique competitive dynamics, including the set of competitors that participated in the lane. As respective market shares differed between the Trans-Pacific and US–Europe routes, different pricing strategies existed per trade lane, creating, in effect, separate markets.

Container liners often cooperated in so-called conferences (or alliances); the composition of which varied based on the route (i.e., a conference between CMA CGM and MSC is only for the Asia–Europe route). In such an alliance, operators shared rate and volume information with each other and coordinated scheduling and route capacities. Given the potentially collusive nature of conferences, the European Union investigated conference practices and unveiled a new guideline in 2008 (IP/08/1063, ‘Guidelines on the Application to Maritime Transport Services of EC Treaty Rules on Restrictive Business Practices’), which resulted in self-regulation of the industry, limiting the information exchange and capacity coordination between operators.

The largest container liners usually announced their GRIs at the beginning of the year and these rates were often followed by smaller market players. These prices were contracted for large customers who desired a locked-in, fixed price for the next year. This contract price

differed from the spot market price, which reflected the actual supply/demand (im-)balance in the market (i.e., prices typically rose when capacity was scarce). Prices excluded surcharges for bunker costs, harbor costs, etc.

Container liners fiercely battled each other for volumes on specific trade lanes often by aggressively lowering prices. Differentiation on the basis of service was limited historically, although customers (shippers) had recently become more aware of issues like total transport time (i.e., the time it took cargo to get from location A to location B, with both not being a port but rather an inland destination), which forced liners to focus on their intermodal capabilities (i.e., transport after shipping). Reliability, guarantees, and environmental footprint were other issues that had recently gained importance for customers.

The focus on price in the face of industry overcapacity had resulted in almost universal losses across all container lines from 2008 through 2011, prompting Michael Behrendt, the CEO of the sixth largest player, Hapag-Lloyd, to comment, “There was an unnecessary, silly, and ruinous level of competition between individual market participants.”¹⁶

A SPECIAL LANE: ASIA-NORTH EUROPE

As was true industry wide, the rate deterioration on the Asia–North EU lane, driven by continued weakness in the Eurozone economy, was exacerbated by the oversupply of vessels. As a result of ever increasing vessel capacities, average TEU capacity for this lane increased from 6,390 TEU in August 2008 to 9,350 TEU in early 2012,¹⁷ and 10 out of 19 companies operating on the route had increased capacity in the previous 12 months. However, average vessel utilization had declined to about 80% (lines typically don’t make money until the rate rises above 85%)¹⁸ leading to the exit of some players from the route (MISC, CSAV, and HDS) during this period. (Exhibit 6 presents container volumes on the Far East – Europe route from 2006 to 2013e.)

Faced with these factors, Maersk introduced its innovative Daily Maersk service at the end of 2011, deemed “a new concept on this trade and a new challenge to the industry.”¹⁹ (See Exhibit 7.) The Daily Maersk service offered seven weekly departures from the Far East to Northern Europe, the promise of improved reliability, shorter total transportation times, and lower effective costs for customers (as containers would not be standing still on the dock waiting for a vessel to pick them up). Maersk hoped that the combination of increased reliability coupled with end-to-end transportation solutions (combining sea, rail, and truck using a network of preferred partners) would create meaningful differentiation for its services, whatever the pricing policy.

Hagway and her consulting team decided to focus on the Asia–North EU lane as a test case for its pricing strategy recommendation for several reasons. First of all, Maersk held a strong position in the lane—one that was important to defend—with a 24% market share and its key competitor (an alliance between the MSC and CMA CGM), holding an estimated 25%. Secondly, for better or worse, the lane exemplified the problems endemic to the industry; in Q4 2011, spot market rates had dropped by about 24% since the summer of 2011 (see Exhibit 8 for more details on price trends). Thus to develop a pricing strategy that addressed the problems in this lane would bode well for issues that plagued the industry as a whole.

Building a Model

Hagway and her team sought to create value for Maersk by building a predictive model for price on the Asia–North EU lane using the pricing dynamics between the two market share leaders—Maersk and CMA/MSC. After poring through available market data (including volumes, prices, and market shares), Maersk’s financial figures, and competitor information, Hagway believed her team had created good estimates by making the following assumptions:

- Maersk’s costs per TEU, estimated at \$941 per TEU (see Exhibit 9)²⁰
- CMA/MSC’s estimated costs per TEU, which were higher at \$1,008 per TEU²¹
- The current market shares of both Maersk and CMA/MSC, 23.2% and 25.8% respectively. This market share remains constant if both offered the same price.
- An estimated market size for 2012 of 21.3 million TEUs. As container transport rates are fairly insignificant compared to the value of assembled goods, this demand is assumed to be inelastic. Also, limited alternatives exist for clients to use anything other than containers (typically air transport is used only for high value goods such as iPads).
- Assumptions of price sensitivity—switching from one company to another. Hagway’s firm based the price sensitivity of the industry on previous research and determined that for every 100 unit difference in rates, there would be a 5% shift in market share.
- The combined market share for the Asia–North EU route of Maersk and CMA/MSC is 49% and the rest of the industry is served by a long tail of other players – whose aggregate market share is assumed to be constant vis-à-vis Maersk + CMA/MSC regardless of their pricing decisions (as they cannot add capacity overnight to take share from Maersk + CMA/MSC).

The assessment led to a set of so-called *reaction functions* that were used to generate a matrix mapping profit contribution for both players at various price levels (see Exhibit 10). The functions used were:

Market size = 21.3 million TEUs for 2012

Market share_{Maersk} = $0.232 + (P_{CM} - P_{Maersk}) \times (1/2000)$

Market share_{CM} = $0.258 + (P_{Maersk} - P_{CM}) \times (1/2000)$

Contribution_{Maersk} = $(P_{Maersk} - \$941) \times (21.3) \times (\text{Market share}_{Maersk})$

Contribution_{CM} = $(P_{CM} - \$1,008) \times (21.3) \times (\text{Market share}_{CM})$

The team also assumed that Maersk and CMA/MSC simultaneously made their pricing decisions, without knowing what the other would do.

Hagway’s goal was to create a tool that would help Maersk’s executive team make a decision on pricing levels for the pivotal Asia–North Europe route for 2012—one that would take into account the CMA/MSC alliance’s likely price move. After reviewing the model one last time, Hagway hit the ‘send’ button forwarding it along to the team’s ‘proxy CEO’—Pat Henshaw, the partner in charge. Hagway believed that a successful model would allow Henshaw (and ultimately CEO Andersen) to answer the key question: Would price cutting, a strategy that

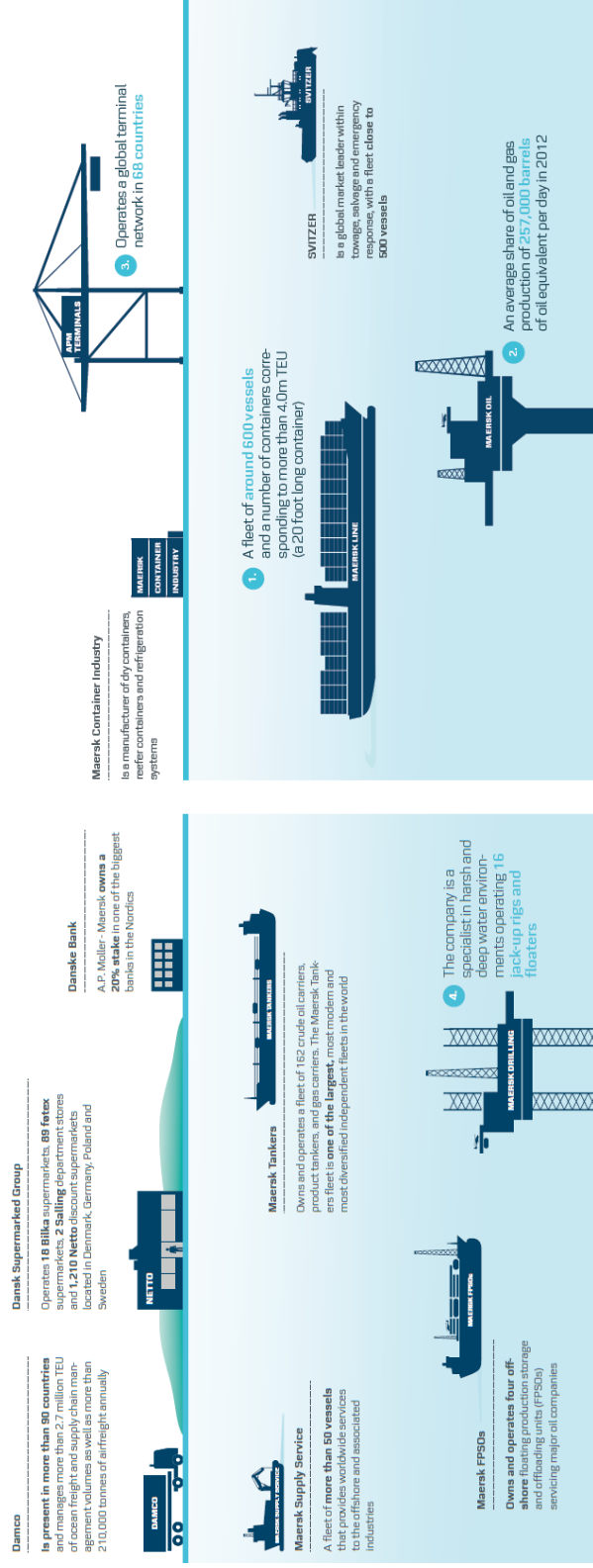
had worked for Maersk in the past (albeit at the expense of some of its lesser competitors) continue to be a winning strategy or should Maersk raise prices?

As Hagway walked out of the office into the night she was anxious to hear the feedback from Henshaw. If the model held up to scrutiny, it would soon be on its way to CEO Andersen's office. "Not bad for a recent MBA," she thought to herself.

Exhibits

Exhibit 1A

A.P. Møller-Maersk Group Business Groups / Operating Sectors



Source: Maersk Annual Report

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Exhibit 1B

A.P. Møller-Maersk Group Key Financials, 2007-2011

in USDm	Actual FY07	Actual FY08	Actual FY09	Actual FY10	Actual FY11
Revenue	51,278	61,270	48,580	56,090	60,230
Profit before depreciation, amortisation and impairment losses, etc. (EBITDA)	11,919	16,478	9,193	15,867	14,661
Depreciation, amortisation and impairment losses	4,816	5,122	5,658	6,015	5,396
Gain on sale of non-current assets, etc., net	1,113	963	198	677	890
Share of profit/loss in associated companies	566	(369)	67	82	122
Profit before financial items (EBIT)	8,782	11,950	3,800	10,611	10,277
Financial items, net	(755)	(1,582)	(1,019)	(939)	(855)
Profit before tax	8,027	10,368	2,781	9,672	9,422
Tax	4,507	6,927	3,805	4,655	6,060
Profit/loss for the year - continuing operations	3,520	3,441	(1,024)	5,017	3,362
Profit/loss for the year - discontinued operations	(98)	21	-	1	15
Profit/loss for the year	3,422	3,462	(1,024)	5,018	3,377
Total assets	64,648	64,925	66,511	66,756	70,444
Total equity	28,903	29,972	30,610	34,376	36,190
Cash flow from operating activities	7,313	8,524	4,679	10,132	7,262
Cash flow used for capital expenditure	(9,000)	(10,281)	(7,874)	(4,638)	(9,759)
Investments in non-current assets	10,652	12,278	9,252	5,626	10,901
Return on invested capital after tax (ROIC)	10.1%	10.2%	-0.2%	12.2%	8.3%
Return on equity after tax	12.9%	11.8%	-3.4%	15.4%	9.6%
Equity ratio	44.7%	46.2%	46.0%	51.5%	51.4%
Earnings per share (EPS), USD	795	809	(312)	1,078	650
Diluted earnings per share, USD	795	809	(312)	1,077	649
Cash flow from operating activities per share, USD	1,777	2,072	1,115	2,321	1,663
Dividend per share, USD	128	123	63	178	174
Share price (B share), end of year, USD	10,719	5,317	7,052	8,998	6,600
Total market capitalization, end of year	43,973	22,002	30,231	38,741	28,018
Average USD/DKK exchange rate	5.44	5.09	5.36	5.62	5.35
End of year USD/DKK exchange rate	5.06	5.28	5.19	5.61	5.75

Source: Annual Reports, Oanda.com

Exhibit 1C

A.P. Møller-Maersk Group Segment Overview, 2010-2011

in USDm	Actual FY10	Actual FY11
Maersk Line	24,022	25,108
Maersk Oil	10,250	12,616
APM Terminals	4,251	4,682
Maersk Drilling	1,627	1,878
Other ¹	15,940	15,946
Revenue	56,090	60,230
Maersk Line	2,821	(482)
Maersk Oil	5,854	7,842
APM Terminals	912	769
Maersk Drilling	543	618
Other ¹	482	1,530
Profit before financial items (EBIT)	10,612	10,277
Maersk Line	15.4%	-3.1%
Maersk Oil	33.2%	37.2%
APM Terminals	15.9%	13.1%
Maersk Drilling	11.3%	12.5%
Other ¹		
ROIC	12.2%	8.3%

¹ Includes Opportunistic Core, Strategic Investments, and Managed for Value segments as well as Eliminations and Unallocated.

Note: Comparable figures for FY07–FY09 were not available due to differences in divisional reporting structure.

Source: Supplemental Annual Reporting Package, AP Møller-Maersk Investor Relations

Exhibit 2

Maersk Line Key Financials, 2007–2011

in USDm	Actual FY07	Actual FY08	Actual FY09	Actual FY10	Actual FY11
Revenue	25,821	28,666	19,929	26,038	25,108
Profit/loss before depreciation, amortisation and impairment losses, etc. (EBITDA)	2,002	2,262	(303)	4,602	1,009
Depreciation, amortisation and impairment losses	1,515	1,641	1,705	1,728	1,617
Gain on sale of non-current assets, etc., net	319	346	51	23	128
Share of profit/loss in associated companies	4	2	2	(2)	(2)
Profit/loss before financial items (EBIT)	810	969	(1,955)	2,895	(482)
Tax and financial items	703	386	172	253	71
Net operating profit/loss after tax (NOPAT)	107	583	(2,127)	2,642	(553)
Cash flow from operating activities	1,519	2,240	131	4,200	899
Cash flow used for capital expenditure	(2,779)	(3,153)	(1,331)	(975)	(3,170)
Invested capital	n/a	19,125	17,340	16,972	18,502
ROIC	n/a	3.2%	-11.9%	15.4%	-3.1%
Transported volumes (FFE in million)	6.8	7.0	6.9	7.3	8.1
Average rate (USD per FFE)	3,034	3,284	2,370	3,064	2,828
Average fuel price (USD per tonne)	344	520	342	458	620

Note: Figures include Safmarine and MCC; figures for FY07–FY09 are not fully comparable as the Group changed its divisional reporting structure and classification of several items.

Source: Annual Reports

Exhibit 3

Global Imports/Exports vs. Container Traffic, 1990–2009

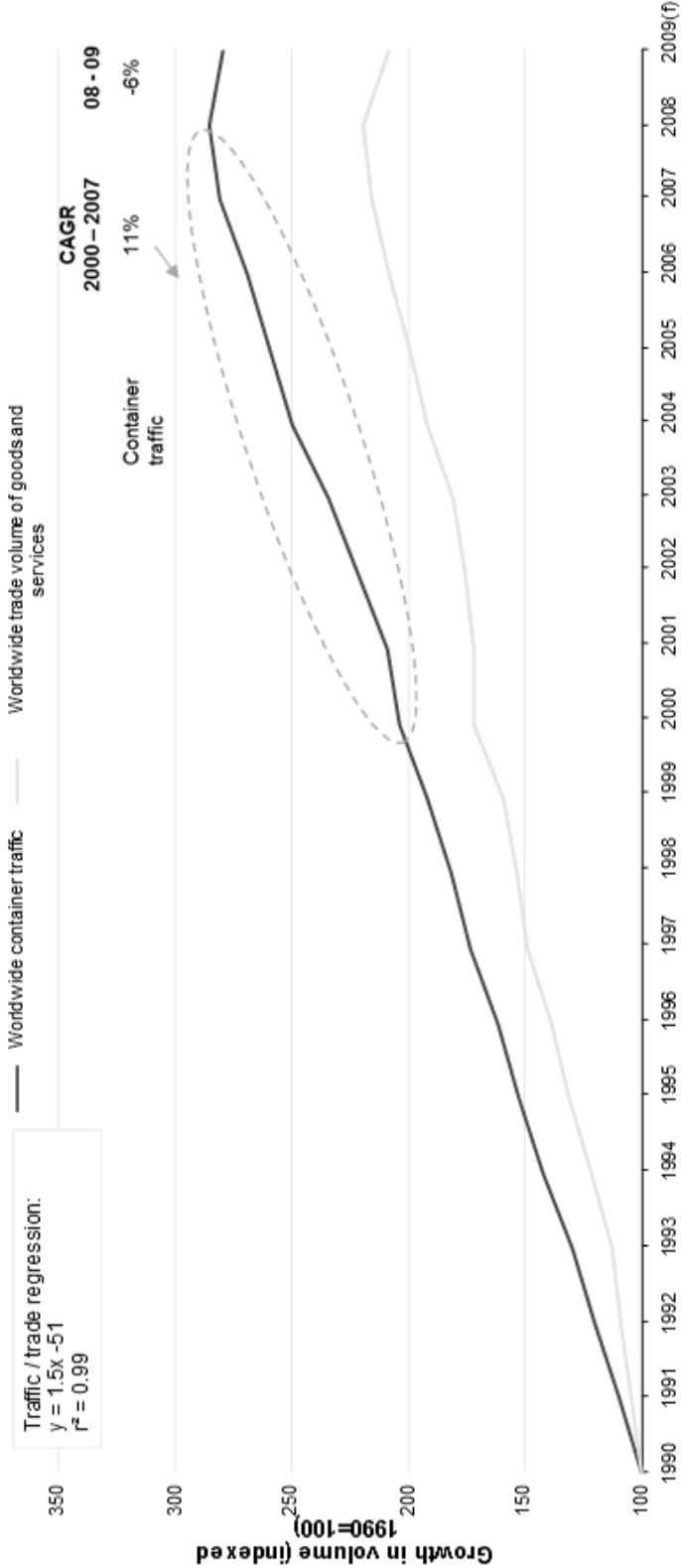
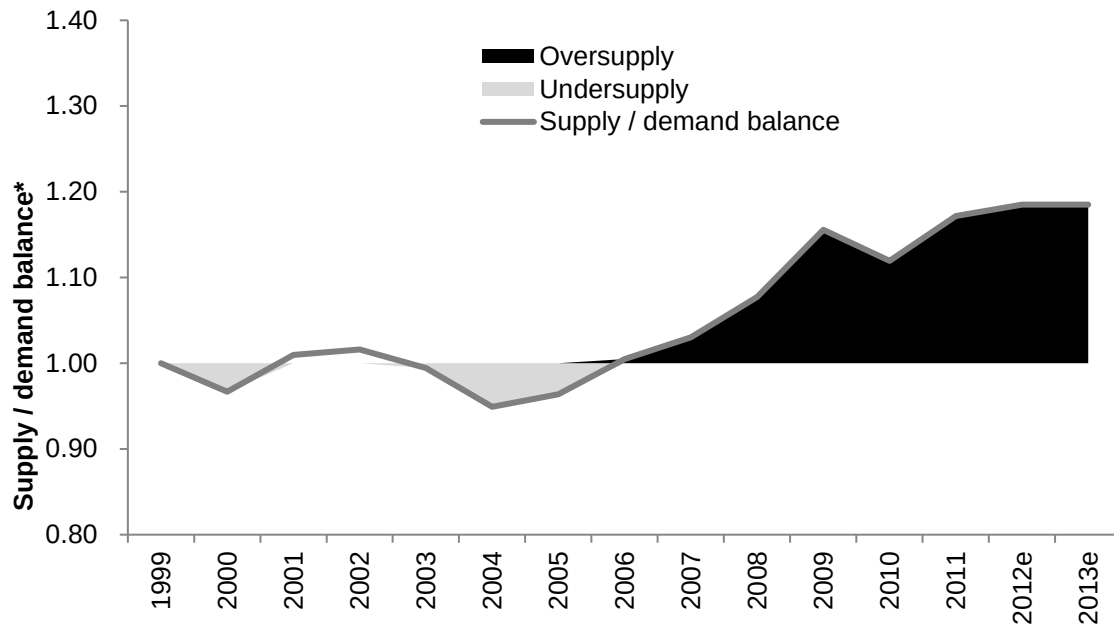


Exhibit 4

Global Supply/Demand Balance in Shipping Industry, 1999–2013E



*: supply / demand balance >1 indicates oversupply (rate pressure), balance <1 indicates undersupply (pricing power); utilization rates are the inverse

Note: 2012 and 2013 are estimates.

Source: Clarksons, Drewry, Deutsche Bank

Exhibit 5

Top Container Lines by Fleet Size in 2012

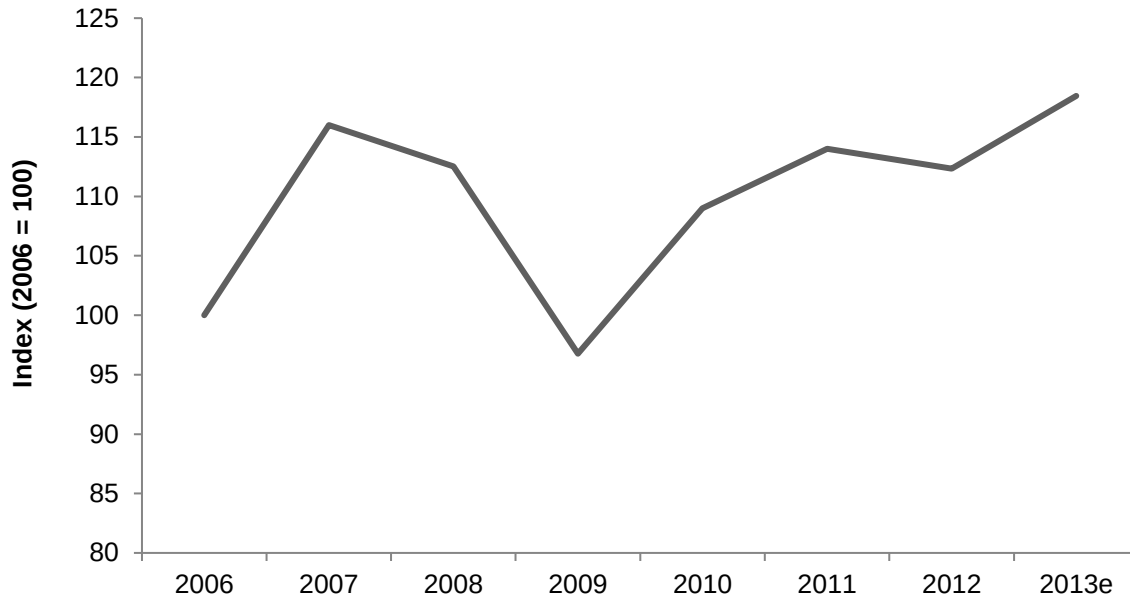
	Operator	Current fleet			Orderbook		
		TEU	Ships	% share	TEU	Ships	% existing
1	APM-Maersk	2,601,323	594	16.1%	373,120	22	14.3%
2	MSC	2,307,168	474	14.2%	184,996	16	8.0%
3	CMA CGM Group	1,414,388	413	8.7%	124,930	12	8.8%
4	COSCO Container Lines	729,716	160	4.5%	127,726	15	17.5%
5	Evergreen Line	724,849	187	4.5%	360,187	36	49.7%
6	Hapag-Lloyd	685,958	149	4.2%	65,845	5	9.6%
7	Hanjin Shipping	625,737	116	3.9%	123,926	18	19.8%
8	APL	601,630	125	3.7%	165,300	16	27.5%
9	CSC	596,581	142	3.7%	94,214	11	15.8%
10	MOL	532,729	115	3.3%	113,200	10	21.2%
11	OOCL	486,911	99	3.0%	88,384	8	18.2%
12	Hamburg Süd Group	412,999	101	2.6%	159,455	24	38.6%
13	NYK Line	412,431	97	2.5%	39,624	3	9.6%
14	Yang Ming Marine Transport Corp.	364,036	84	2.2%	119,876	14	32.9%
15	K Line	358,424	71	2.2%	69,350	5	19.3%
16	Hyundai M.M.	339,115	56	2.1%	75,546	7	22.3%
17	Zim	335,728	88	2.1%	85,408	8	25.4%
18	PIL (Pacific Int. Line)	304,611	149	1.9%	79,762	20	26.2%
19	UASC	258,395	44	1.6%	-	-	-
20	CSAV Group	248,514	53	1.5%	99,500	11	40.0%
Top 20		14,341,243	3,317	88.6%	2,550,349	261	17.8%
Non-Top 20		1,850,380	1,522	11.4%	206,269	87	11.1%

Note: Market share is based on TEUs, % existing calculated as TEU orderbook / TEU current fleet, orderbook for delivery up to 2015.

Source: AXS Alphaliner

Exhibit 6

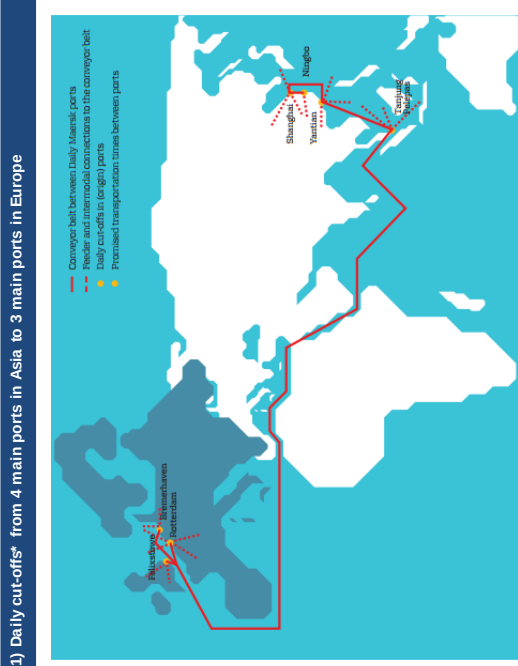
Container Volumes Far East / Europe 2006–2013



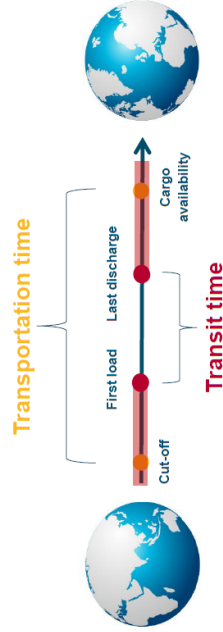
Source: Drewry, Deutsche Bank

Exhibit 7

Daily Maersk Overview



2) Focus on total transportation time versus transit time through chain integration



4) DailyMaersk offers substantial benefits

- Customers reduce (quayside) inventory by ~50%, which frees up much needed capital
- Estimated savings c.\$500 per container (including working capital charges)
- Improved delivery reliability, backed with Maersk's offer to compensate for delays
- Unrivalled frequency, competitors do not offer daily cut offs
- Reduction in CO2 footprint for both Maersk and customers (slow steaming)

*: Cut-off is a port departure.

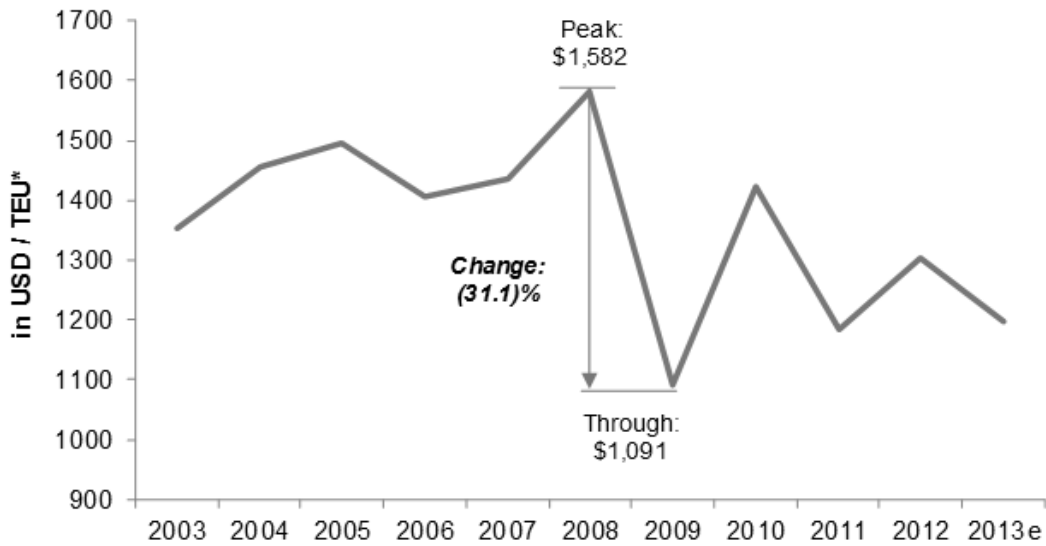
***: Total transit time of 34 days allows Maersk to reduce vessel steaming speed as its daily cut-offs reduce port waiting time.

Note: The conveyor belt principle refers to Maersk's daily cut-offs, so that customers can drop off their cargo at any day of the week.

Source: DailyMaersk.com, Press Releases, UBS Transportation Conference 2011

Exhibit 8

Average Rates Far East / Europe 2003–2013e

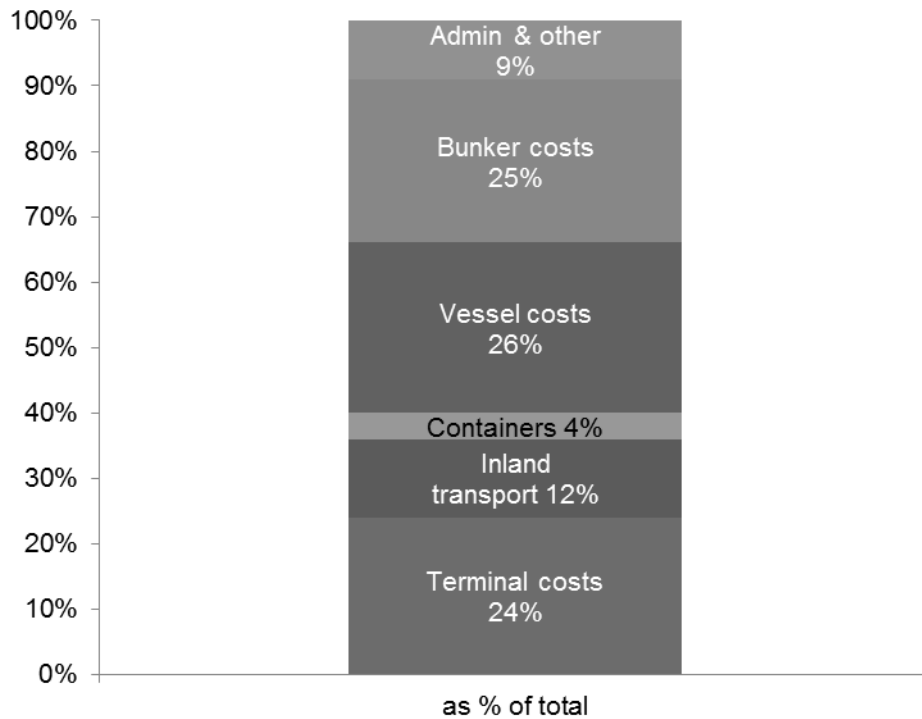


*: Rates include all applicable surcharges (BAF, EEAF, etc.).

Source: Drewry

Exhibit 9

Maersk Cost Structure



Source: 3Q12 Results Presentation, Annual Report 2012, and case writer's estimates

Exhibit 10

Pricing and Contribution Matrix

CMA/MSC price	0	0	0	0	0	0	0	0	169	1,225	2,280	3,336	4,392	5,447
2,000	(433)	611	1,654	2,698	3,742	4,785	5,734	6,059	6,172	6,172	6,172	6,071	5,757	5,231
1,900	0	0	0	0	0	152	1,101	2,050	2,999	3,949	4,898	5,847	6,797	7,746
1,800	(433)	611	1,654	2,698	3,742	4,707	5,139	5,358	5,364	5,364	5,157	4,737	4,103	3,469
1,700	0	0	0	0	135	977	1,820	2,663	3,505	4,348	5,191	6,034	6,877	7,720
1,600	(433)	611	1,654	2,698	3,681	4,219	4,544	4,657	4,556	4,242	3,716	2,976	2,000	1,125
1,500	0	0	0	118	854	1,590	2,326	3,062	3,799	4,535	5,271	6,007	6,743	7,479
1,400	(433)	611	1,654	2,654	3,299	3,731	3,949	3,955	3,748	3,328	2,695	1,849	900	0
1,300	0	0	101	730	1,360	1,990	2,619	3,249	3,879	4,508	5,138	5,768	6,398	7,028
1,200	(433)	611	1,627	2,379	2,917	3,242	3,355	3,254	2,940	2,414	1,674	721	0	0
1,100	0	84	607	1,130	1,653	2,176	2,700	3,223	3,746	4,269	4,792	5,315	5,838	6,361
1,000	(433)	601	1,458	2,103	2,535	2,754	2,760	2,553	2,133	1,499	653	0	0	0
900	67	483	900	1,317	1,733	2,150	2,567	2,983	3,400	3,817	4,234	4,651	5,068	5,485
Maersk price	(426)	538	1,290	1,828	2,153	2,266	2,165	1,851	1,325	585	0	0	0	0
	360	670	980	1,290	1,600	1,911	2,221	2,531	2,841	3,040	3,040	3,040	3,040	3,040
	(382)	476	1,121	1,553	1,772	1,777	1,570	1,150	517	0	0	0	0	0
	440	644	847	1,051	1,255	1,458	1,662	1,866	1,996	1,996	1,996	1,996	1,996	1,996
	(338)	414	952	1,277	1,390	1,289	975	449	0	0	0	0	0	0
	307	404	501	599	696	793	890	952	952	952	952	952	952	952
	(293)	351	783	1,002	1,008	801	381	0	0	0	0	0	0	0
	(39)	(48)	(57)	(67)	(76)	(85)	(91)	(91)	(91)	(91)	(91)	(91)	(91)	(91)
	(249)	289	614	727	626	313	0	0	0	0	0	0	0	0
	(598)	(714)	(829)	(945)	(1,061)	(1,135)	(1,135)	(1,135)	(1,135)	(1,135)	(1,135)	(1,135)	(1,135)	(1,135)
	(205)	227	446	451	244	0	0	0	0	0	0	0	0	0
	900	1,000	1,100	1,200	1,300	1,400	1,500	1,600	1,700	1,800	1,900	2,000	2,100	2,200

Note: The bottom figure in each cell represents Maersk's contribution; the top figure represents MSC/CMA's contribution. That is, at a price of \$900 for both, Maersk's contribution is \$-205 and CMA/MSK's contribution is \$-598.

Source: Case writer's calculations.

Endnotes

¹ This case is based solely on publicly available research, and Maersk is used as the basis for discussion.

² Nils S. Andersen, "Building Lasting Success," A.P. Møller-Maersk Group Capital Markets Day presentation, http://files.shareholder.com/downloads/ABEA-3GG91Y/2609484466x0x604078/9ff6b2f8-76dd-4d69-be9a-c0bd0641610b/Group_for_NASDAQ.pdf.

³ Market share in this industry is typically measured by shipping capacity as utilization was assumed to be relatively equal by carrier.

⁴ TEU = Twenty-foot Equivalent intermodal Unit container, which is the standard size container that easily transfers between ships, trains, and trucks and is easily handled by quay-side terminals.

⁵ Although there is not a direct relationship between market share and profitability, a strong market share position will result in better margins following two factors: (i) ability to 'dictate' prices, and (ii) higher utilization rates (but the latter is also dependent on fleet size).

⁶ Bloomberg.com, February 17, 2012, <http://bloom.bg/x4jqUG>.

⁷ Bloomberg.com.

⁸ ROIC = return on invested capital. It measures the capital efficiency.

⁹ The Maersk Triple E Class container vessels could not, however, pass through the Panama Canal, limiting their use for some routes.

¹⁰ Reefers are temperature-controlled containers, which carry perishable goods.

¹¹ Geoff Colvin, "Nils Andersen: Møller-Maersk's Trade Tracker," *Fortune*, December 19, 2011.

http://money.cnn.com/2011/10/25/news/companies/maersk_nils_andersen_leadership.fortune/index.html.

¹² Colvin, "Nils Andersen."

¹³ Colvin, "Nils Andersen."

¹⁴ Transportation Dictionary, "Definition of Lay Up," <http://www.transportation-dictionary.org>.

Lay-up refers to the temporary cessation of trading of a ship by a ship owner during a period when there is a surplus of ships in relation to the level of available cargoes. This surplus, known as overtonnaging, has the effect of depressing freight rates to the extent that some ship owners no longer find it economical to trade their ship, preferring to lay them up until there is a reversal in the trend.

¹⁵ Slow steaming refers to the deliberate reduction of vessel cruising speed in order to cut fuel costs.

¹⁶ Lloyd's List: Containerisation International, "Hapag-Lloyd Posts \$38m Net Loss," March 21, 2012, <http://www.lloydslist.com/ll/sector/containers/article394211.ece>.

¹⁷ Dr Jonathan Beard, Eric Jin Xiaobin, Jolke Helbing, Jamie Simpson and Tim Scarbrough, "Asia-Europe Container Trade Outlook: Navigating Stormy Water," Maritime Leadership Forum Presentation, October 10, 2012.

¹⁸ Bloomberg.com.

¹⁹ Beard, “Asia-Europe Trade Outlook.”

²⁰ Maersk’s costs are calculated based on the average container rate on the lane minus Maersk’s clean earnings.

²¹ CMA CGM and MSC are privately held and do not release any information on earnings per TEU. This estimate is based on costs at Cosco (the #3 competitor) which has costs that are between 5-10% higher on a comparable basis.